

"The US is not producing enough software people. India has been the force multiplier for the US. Critics who say that we are taking away US jobs are totally wrong"

T.V. MOHANDAS PAI
Ex-Infosys board member



"This is an issue where there is critical skill gap in the US and that is bridged by H-1B visas. And, even if visa numbers are less, they still have a critical role to play"

SHIVENDRA SINGH
VP, Nasscom

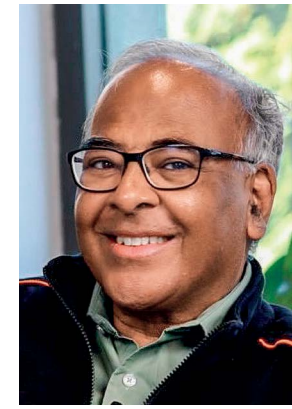
"The changes being discussed—like increasing salary—are to discourage the misuse of the H-1B programme by companies for labour arbitrage"

RAMKUMAR RAMAMOORTHY *Former chairman, Cognizant India*



"It's not only the Fortune 100 or 500 companies... millions of small, medium businesses are looking to digitise. And they all will require our techies"

K.S. VISWANATHAN
Former VP, Nasscom



to lay off at least 85,000 American workers while hiring over 34,000 H-1B guest workers. He also claimed that H-1B workers had filled 33 per cent of all new IT jobs.

With both sides digging in their heels, Musk walked back on his stand and posted on X, "I've been very clear that the program is broken and needs major reform." His solution: "Easily fixed by raising the minimum salary significantly and adding a yearly cost for maintaining the H-1B, making it materially more expensive to hire from overseas than domestically." Meanwhile, Trump is approaching the H-1B visa issue with a velvet glove, reserving the iron fist for illegal immigrants instead. In an interview to an American daily, he said, "I have always been in favour of the visas.... That's why we have them."

Indian experts, however, are cautious about Trump's assertions. He had taken a hardline stance against H-1B visas in his first term and at one stage even campaigned to do away with them. As president, he introduced significant regulations, including tougher scrutiny of applications, which saw denial rates for visas soar to 24 per cent in FY18 from the earlier average of 6 per cent. In April 2017, Trump pushed through the 'Buy American and Hire American' executive order and directed federal agencies to suggest reforms to ensure H-1B visas were awarded only to the most skilled or highest-paid beneficiaries. This included increasing the floor salary of $60,000 a year for H-1B workers, to hew closer to the average American salary of $100,000 for similar jobs. Post 2020, when Trump lost, the Biden administration removed many of the restrictions he had imposed; others were struck down via judicial review.

TRUMP KNOWS A RADICAL SHIFT ON H-1B COULD HURT AMERICA'S EFFORTS TO RETAIN ITS TECH EDGE AND MAY GO FOR A GRADUAL DRAWDOWN

HOW REAL IS THE THREAT?

So, how exactly can Trump fiddle with H-1B visas in his second presidency? While he is certain to go all-out on deporting illegal immigrants as he has promised, he is likely to proceed with more circumspection on H-1B visas. He is all too aware that too radical a shift on this front could deliver a body blow to America's effort to maintain its technological and innovative edge, especially with China snapping at its heels. At his New Year's Eve party, he told reporters, "I have always felt we have to have the most competent people in our country. We need a lot of people coming in. We're going to have jobs like we've never had before." Trump may adopt what Project 2025, a conservative blueprint written by many of his former